STATE INTERVENTION IN EUROPE AND WWII

ALFANI-COLLI 10.2-11

Economic history
Ay 2025/2026
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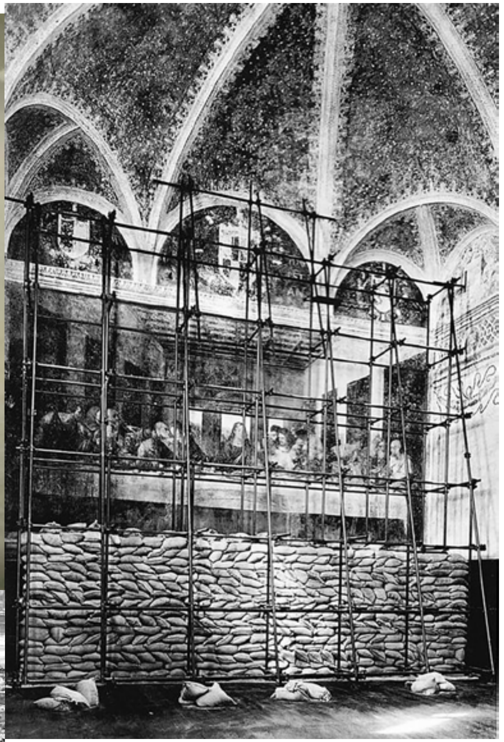
IN THIS CLASS

- State intervention in Europe
    - Germany
    - Italy

- The Second World War:
    - macroeconomic performance
    - international relations
    - public intervention and planning
    - technological innovation


MEANTIME, IN EUROPE…

- Some European states opted for a solution other than the **social democratic** one:

    - complete abandonment of economic internationalism
    - closure of their markets
    - strong state intervention in the economy
    - extensive public works campaigns

- The first country to move in this direction was Nazi Germany, followed by many other central and southern European countries including fascist Italy and the Soviet Union.

GERMANY: NAZI ECONOMY

Germany was crushed by **post-war problems**, a huge **foreign debt** and reliance on **orthodox economic policies**.

Capital controls introduced in 1931 opened a possibility for the expansion of domestic monetary policy but ...
The Bruning opted to continue a **policy of austerity**.

The failure to use monetary policies to stimulate the economy worsened the situation.

→The German economy continued its period of severe suffering. The **living conditions** of the population deteriorated further and **unemployment rates** rose dramatically.

Nazism capitalised on the discontent for its rise to power: 3 crisis in 10 years!

GERMANY: NAZI ECONOMY

1932 National Socialists won the elections (37%)

1933 Adolf Hitler became Chancellor

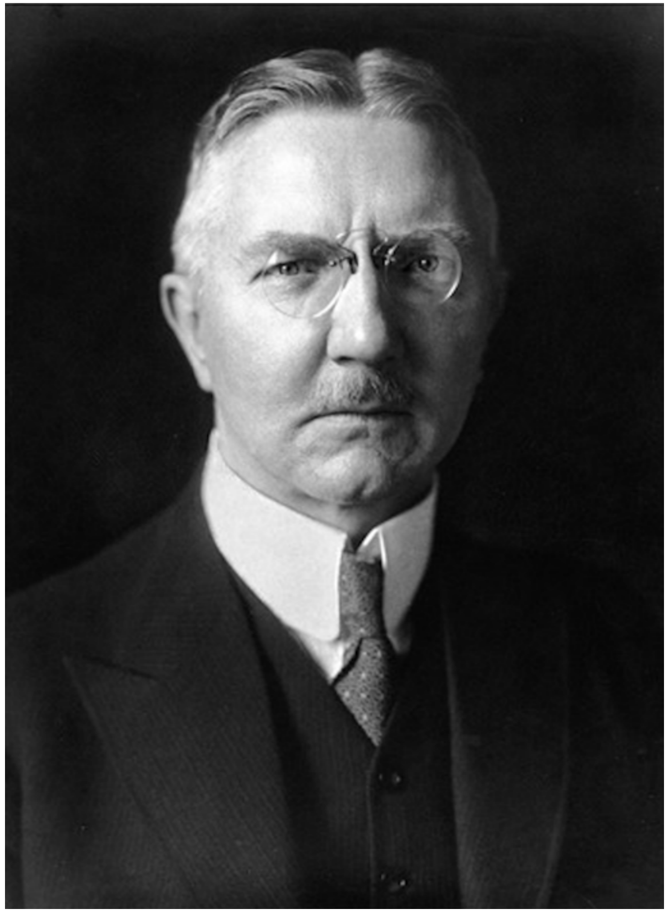
1933 Elections → Hitler as Führer

State of emergency was introduced: control of the economy and the society

- Political parties and trade unions were suppressed
- Priority given to unemployment
- Four-Year Plan
  - Unemployment reduced
  - Marriages incentives
- Four-Year Plan 2
  - Preparation for war

GERMANY: NAZI ECONOMY

- The main architect of the economic recovery during Nazism was Hjalmar Schacht
  - **1934: THE NEW PLAN**
- He was appointed President of the Reichsbank (1933 to 1939) and Minister of Economics (1934-1937).
- Schact's program envisaged restarting industry by **injecting liquidity**: however, an expansionary maneuver would have led to a collapse of the balance of payments.
- To prevent this, he introduced innovative financial instruments such as the MEFO bills, which enabled the state to finance rearmament and industrial growth without immediate inflationary or external imbalances.



GERMANY: NAZI ECONOMY

The solution was found in the *Metallurgische Forschungsgesellschaft* (ME.FO), a fictitious company used for rearmament (done in secret, initially):

The initial share capital for MEFO was put up by four major German armaments manufacturers:

- ❖ Krupp
- ❖ Siemens
- ❖ Gutehoffnungshütte (now part of MAN SE)
- ❖ Rheinmetall

- ME.FO issued **bonds** to state suppliers, which were exchangeable and could be spent within national borders
- Effect: monetary expansion through an alternative **'national' currency** without burdening the state budget or creating inflation
- **Confidence in the system** rested on the guarantees offered by the central bank and because they were accepted by major companies as a means of payment.
- This scheme allowed Hitler's regime to borrow and spend billions of Reichsmarks—primarily for rearmament—without the spending appearing on official budget figures or increasing the immediate public debt visible to other nations.

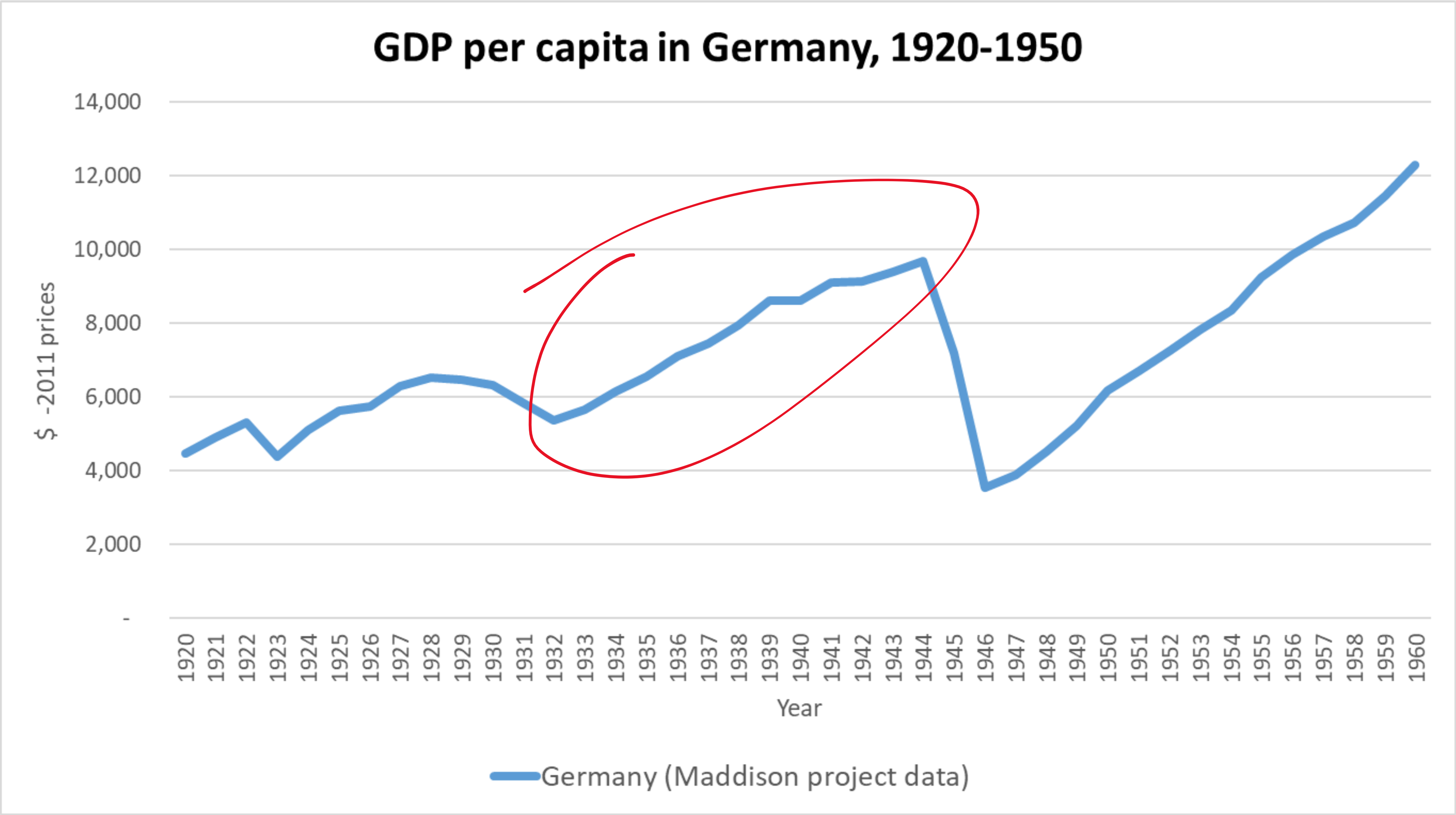
GERMANY: NAZI ECONOMY

The government resorted to four-year plans financed largely by public spending:

- reducing unemployment
  - in 1936 the German economy **reached full employment**
- construction of public works
- supporting indebted farmers and small businesses
- economic self-sufficiency (autarky)
- military rearmament
- International trade was brought under state control and an extensive trade area was created including the countries of Central and Eastern Europe.

Economic planning relied on the **cooperation of the business community**

→ Strong collaboration between state and business (organised along cartel lines)


GDP per capita in Germany, 1920-1950
14,000
12,000
10,000
8,000
6,000
4,000
2,000
-
$ -2011 prices
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1921
1922
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Year
Germany (Maddison project data)

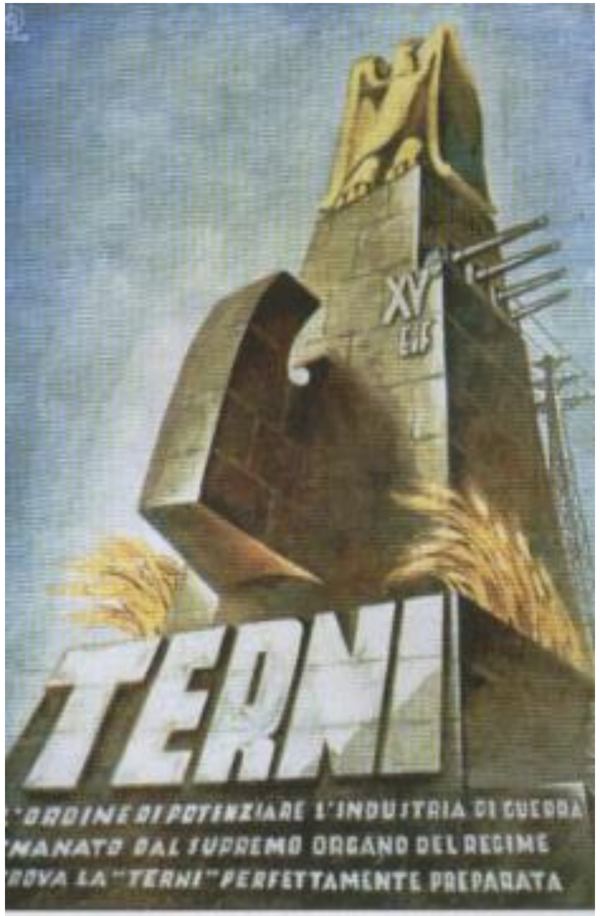
FASCIST ITALY

- 1922 March on Rome
- 1924 Elections: 2/3 of the seats in Parliament (Acerbo law)
- The fascist regime, after a liberal phase (1922-1925) and a dirigiste one (1925-1936), adopts a more distinctly autarkic economic policy (1936-1940)
- In consequence of the 1929 crisis.
  - The close relationship between credit (mixed banks) and industry risks collapsing the system with the stock market crash → IMI and IRI
- Following the sanctions of the League of Nations for the invasion of Ethiopia (1935)
  - Autarchy is launched in 1936 in the "Regulatory Plan" for the Italian economy in the coming fascist era.

FASCIST ECONOMY

- Dirigisme – Protectionism of Italian economy strongly in line with the fascist ideology
- Grain Battle
- Quota 90: the exchange between lira and sterling should go from 145 to 90
    - Access to credit is more difficult
    - The lira circulating decreases
    - Over evaluation and deflation
- Since prices started to decrease, salaries have been <u>artificially</u> decreased
    - The variation in salaries is higher than the evaluation of the lira
- The heavy industry – import raw material from abroad and sell to the State
- Crisis 1929 - Public spending - Aids to Industries and Banks - Reclamation of land

INSTITUTE FOR INDUSTRIAL RECONSTRUCTION



- The Institute for Industrial Reconstruction, established in 1933 as a transitional entity for rescue and demobilization, becomes the permanent body for managing the state's shareholdings in the commercial, industrial, and credit sectors in 1937:
  - It controls about 40% of the total equity capital of Italian companies

- The IRI finances itself in the market through bonds
- To streamline the management of controlled companies, **sector-specific financial** entities are established
- It is an organizational structure that combines public interest with private efficiency

THE BANK REFORM

- Enacted in 1936, it established:
    - The separation between banking and industry.
    - The specialization of the credit sector into institutions for short-term or medium/long-term purposes (reserved for special credit institutions).
- Mixed banks cease to exist.
- The Bank of Italy becomes the "bank of banks" and assumes supervisory powers.

AUTARCHY AS INDUSTRIAL POLICY

The instruments of autarky included:

- **Centralized** planning of resource allocation, investments, and production
- Strategic use of IRI to strengthen key **heavy industries** (such as steel, shipbuilding, and heavy machinery) and increase public control in vital sectors of the economy
- "**Socialization**" of businesses during the Social Republic: involvement of workers (technicians, clerks, and laborers) in management and profit-sharing

The objectives were:

- **Support for employment**
- Promotion of development in **underdeveloped** areas
- Facilitation of selective resource reallocation in favor of basic industries and large enterprises

FROM PLANNING TO WAR

WORLD WAR II

- Conflict in two theatres
  - European war: 1939-1945
  - Asian-Pacific war: 1937-1945
- The aggressors: Axis Powers
  - Germany
  - Italy
  - Japan
- The victors: Allied Powers
  - France
  - UK
  - USA
  - USSR
  - China

permanent members of UN Security Council

WORLD WAR II VS WORLD WAR I

- While the major economies mobilised 30% to 60% of their national incomes for WWI, WWII demanded **50% to 70%**
- Human losses: more than **50 million in WWII** compared with 20 million or more in WWI
    - Civilian - military
- **Economics** – and economists – were everywhere in WWII
- In GB, the share of **consumption expenditure fell** from 77.2% in 1913 to a low of 60.2% in 1917, in the Second World War it fell from 78.8% in 1938 to a low of 51.9% in 1943.
- **Nationalization** of industries
- **Competition was restricted**
- Improvement in **economic management and performance** as a result of lessons learned from the experience of the First World War

WORLD WAR II

- As in the First World War, the role of the state is crucial in the management of the conflict:
  - tight control of supplies, the financial sector, the workforce, and forced levies
    → **interventions** to favour the needs of war industries
  - high demand for **raw materials** for war production and search for **alternatives** (e.g. synthetic rubber)
    → strong stimulus to technological innovation

Planning and autarkic policies tried in the past would prove invaluable both during the war and in the post-war period.

The countries that emerged triumphant from the war were those that before the conflict (1938) had the highest level of development (GDP per capita).

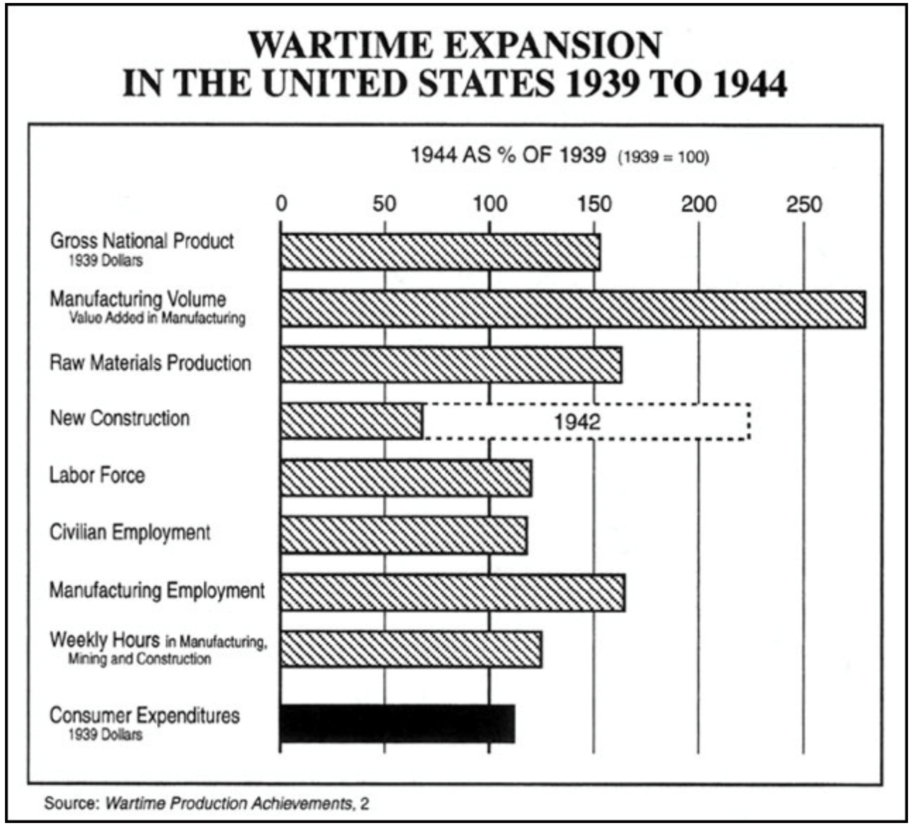
WORLD WAR II

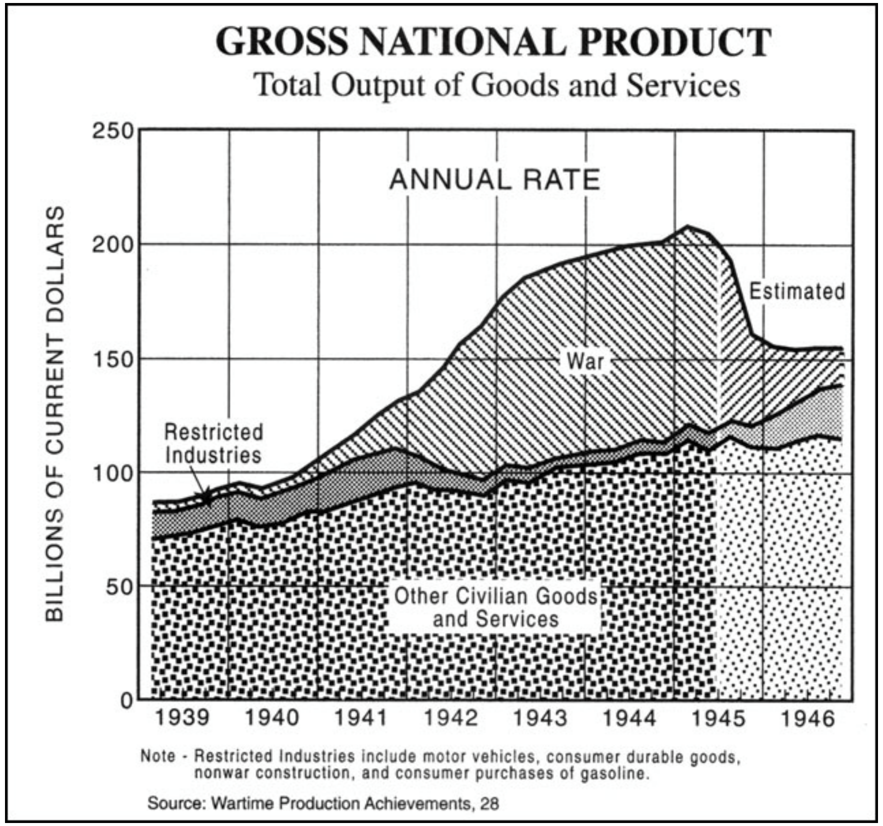
- Science plays an important role in war: the case of **Los Alamos National Laboratory** is probably the most paradigmatic example.

- The development of more effective means of combat generated important technical spin-offs on which new sectors would develop after the war: aerospace industry, chemical and pharmaceutical industry, energy industry, ITC sector.

WORLD WAR II AND GDP

- The war effort has significant consequences on the growth of industrial output and GDP:





THE AMERICAN PLAN

- The US has been planning the new international economic order since before it entered the war in 1941: the mistakes made after the First World War should not be repeated.
- Post-1940 period: full employment
- Macroeconomic data begins around 1945—it was first collected to aid in wartime planning
- Increasing Taxes
- War Bonds: sold at 75% of their face value, maturity in 10 years

THE AMERICAN PLAN

- Defence spending rose from 1.4% of GDP in 1940 to over 37% in 1945
- Real GDP per person reached a wartime peak that was 67% higher than the 1940 level
- Government forced 10% of the workforce to join the military
- Over 36% of estimated GDP was devoted to the production of war goods
- The military also had first claim on the materials for clothing, food, and other factors.
  - This led to rationing of meat, gasoline, fuel oil, kerosene, nylon, silk, shoes, sugar, coffee, processed foods, cheese, and milk.

But were Americans better off during the war than they had been before the US entered the war?

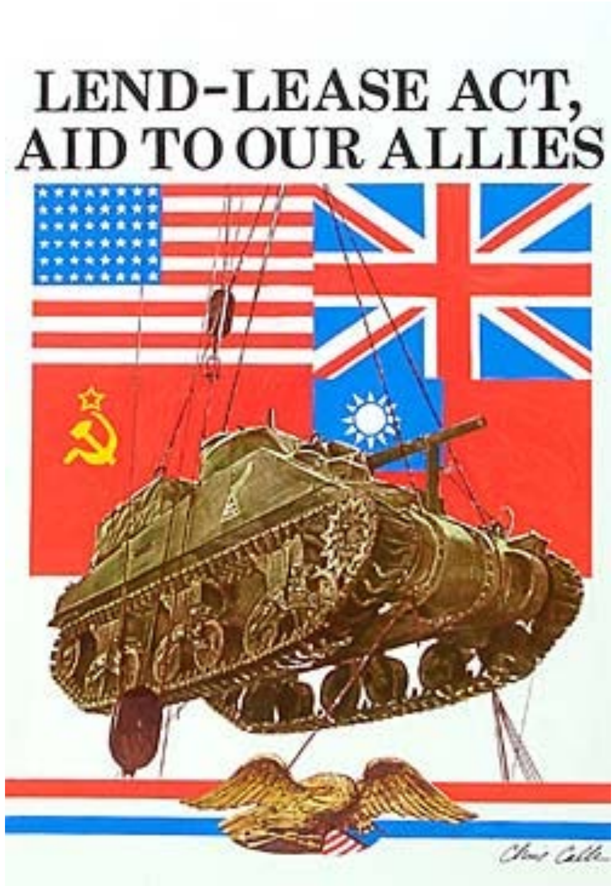
THE AMERICAN PLAN

- Consumption per person was lower throughout the war than it was in 1940 when the economy was still climbing out of the Great Depression
- People worked longer and harder
- War work disrupted many long-term plans by drawing
  - teenagers out of school
  - women from their homes
  - the elderly out of retirement
- The average tax rate for top incomes rose to 90%.
- The number of households paying income taxes rose six-fold.
  - Even families in poverty had begun paying income taxes

WORLD WAR II

- The US lends large sums of money to the Allies (approx. $50 billion): even if the money is not paid back, it would still form the basis of political capital to be spent in the future.

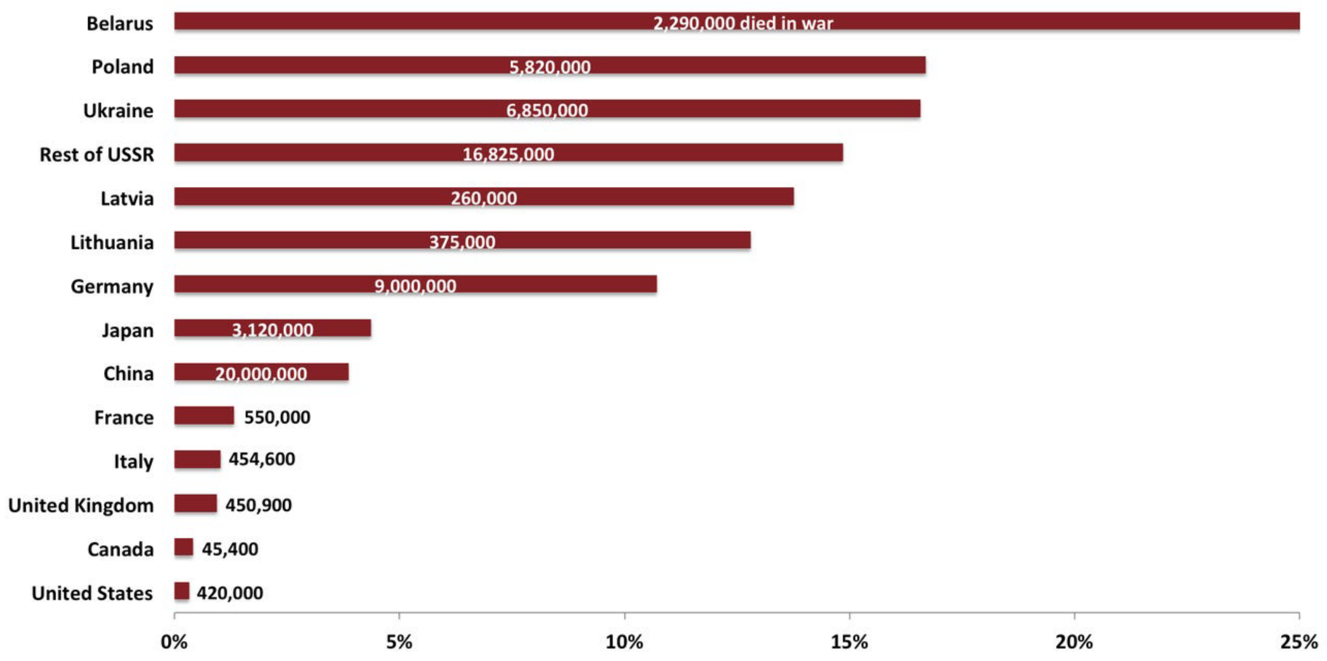
- Atlantic Charter (US and GB, 1941), provides for post-war:
  - **self-determination** of peoples
  - **renunciation** of territorial gains
  - international **cooperation**
  - return to **free trade**
  - restoration of the **Gold Standard**



WORLD WAR II

The Second World War deployed a far greater destructive potential than the First War. Human losses and damage to productive assets and infrastructure were correspondingly higher.

The fraction of various country's population that died in WWII



WORLD WAR II

Reconstruction therefore started in 1945 from a lower level than in 1918:

- nevertheless, the approach was underpinned by much more far-sighted vision and political planning (decisive role of the USA)
- **international cooperation** was much more intense than after the first post-war period (even though the division of the world into two blocs opened up)

WORLD WAR II

- The pillars on which post-World War II reconstruction is based are as follows:

1. A new international monetary system: Bretton Woods
2. International trade
3. The Marshall Plan
4. European integration
5. The economic miracles


IRAQ
LUXEMBOURG
NETHERLANDS
NICARAGUA
PANAMA
PERU
POLAND